

Act IV: The Play Begins

Market Equilibrium, Price Setting, Taxes

Module IX: The Town Square

Market Equilibrium



Previously in Marginal Falls

- ◆ Buyers gave us Demand.
- ◆ Sellers gave us Supply.
- ◆ Elasticity told us sensitivity.

Next: Buyers and Sellers meet at the Market

The Mayor Steps Back

Earlier:
Mayor announces price.

But now, the Mayor is stepping back from
determining any price.



The market finds the price.

Two Plans Meet

Buyers ask: How much do we want to buy?

Sellers ask: How much do we want to sell?

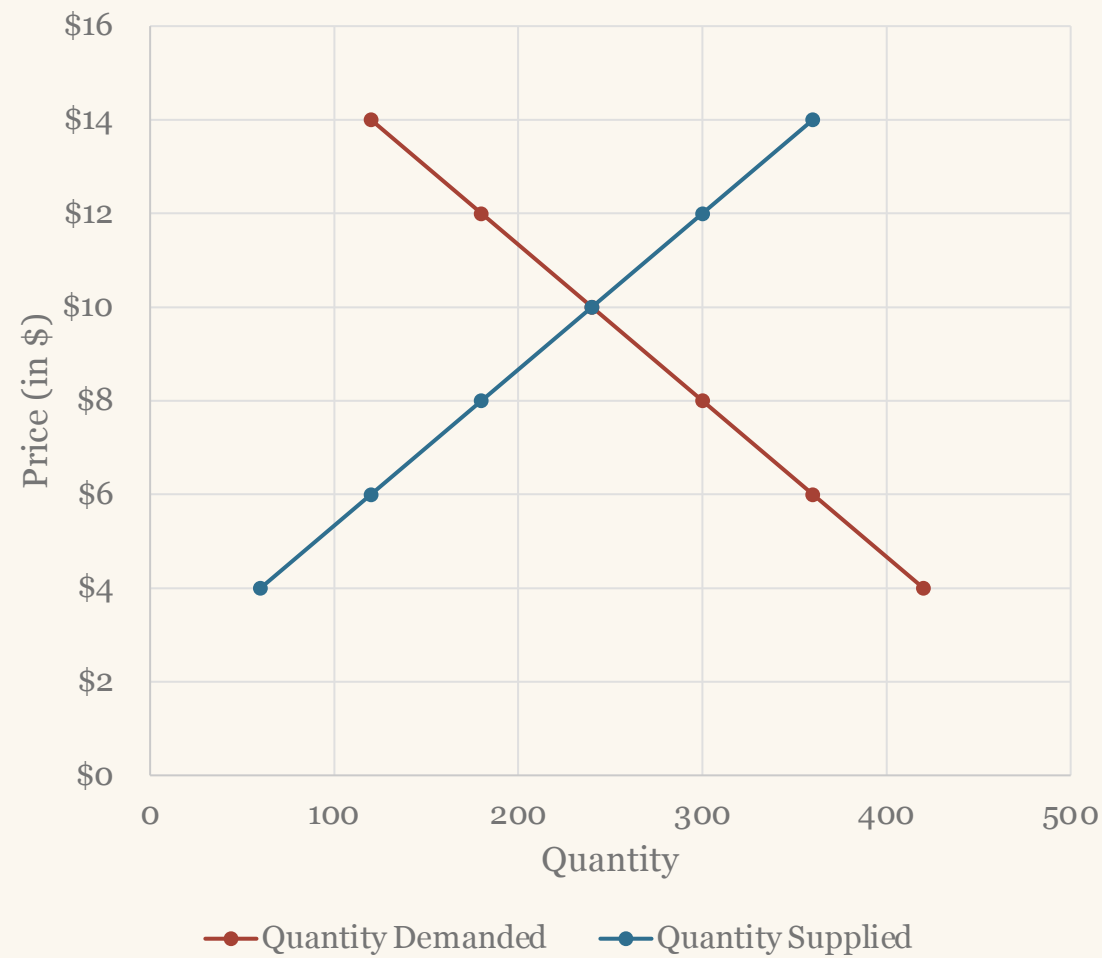
The market compares the two.
Facebook Marketplace, Amazon, etc.

The Pastry Market

Price	Quantity Demanded	Quantity Supplied
\$4	420	60
\$6	360	120
\$8	300	180
\$10	240	240
\$12	180	300
\$14	120	360

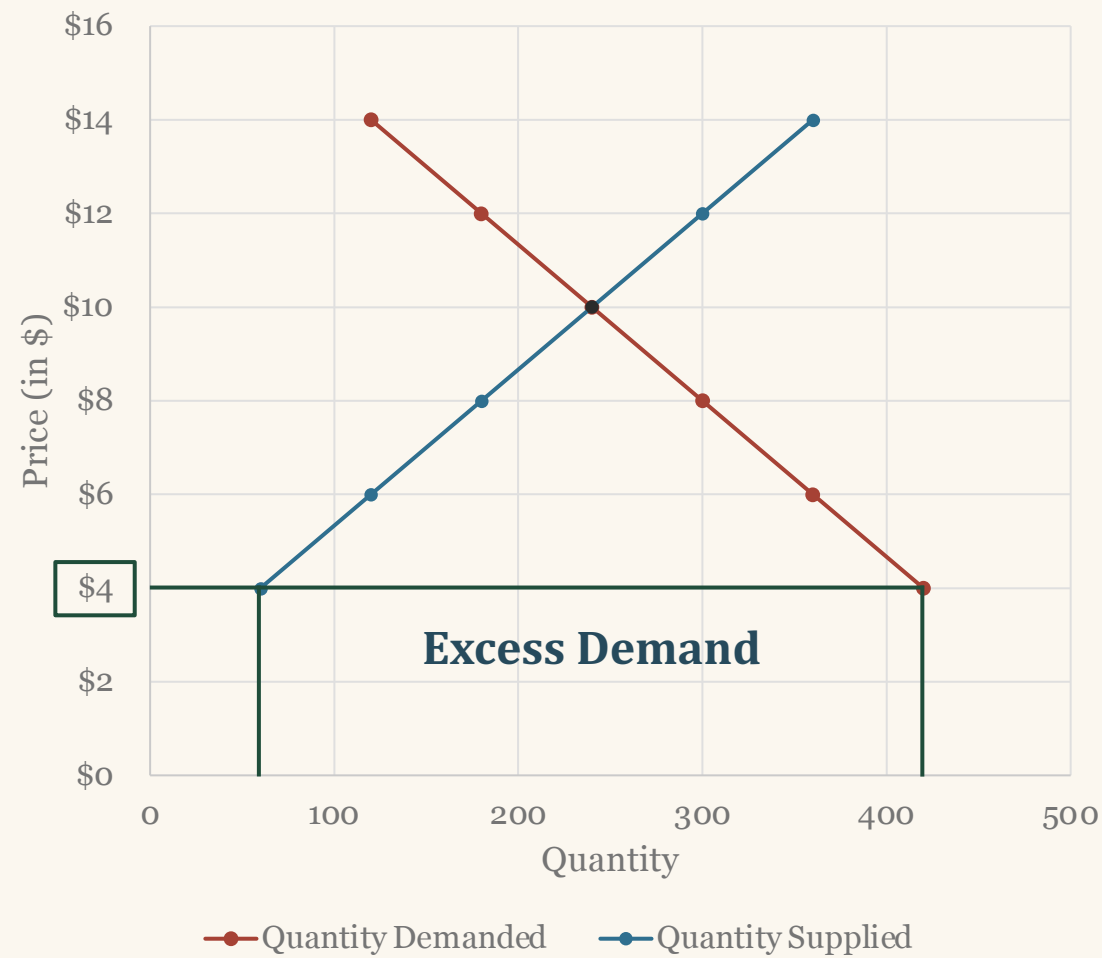
At each price, buyers and sellers have different plans.

Buyers and Sellers Meet



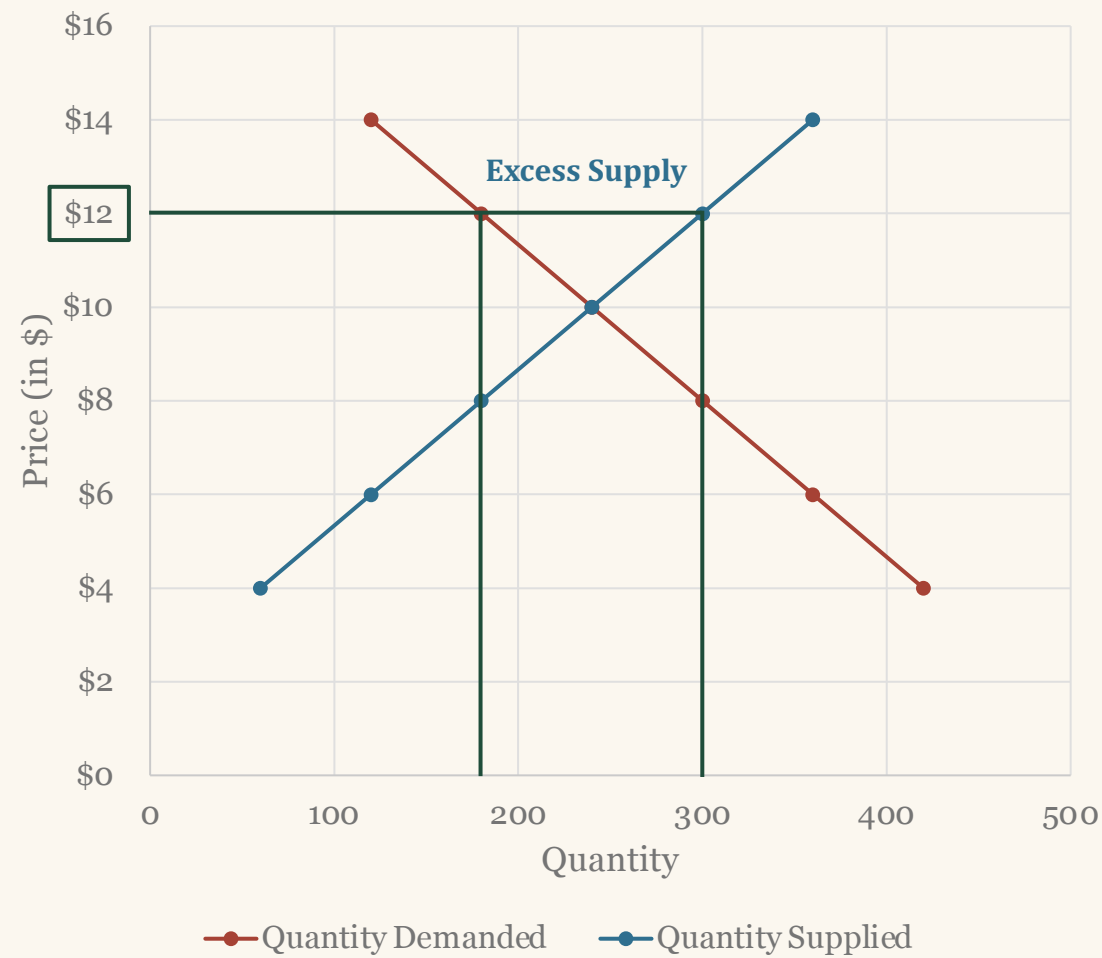
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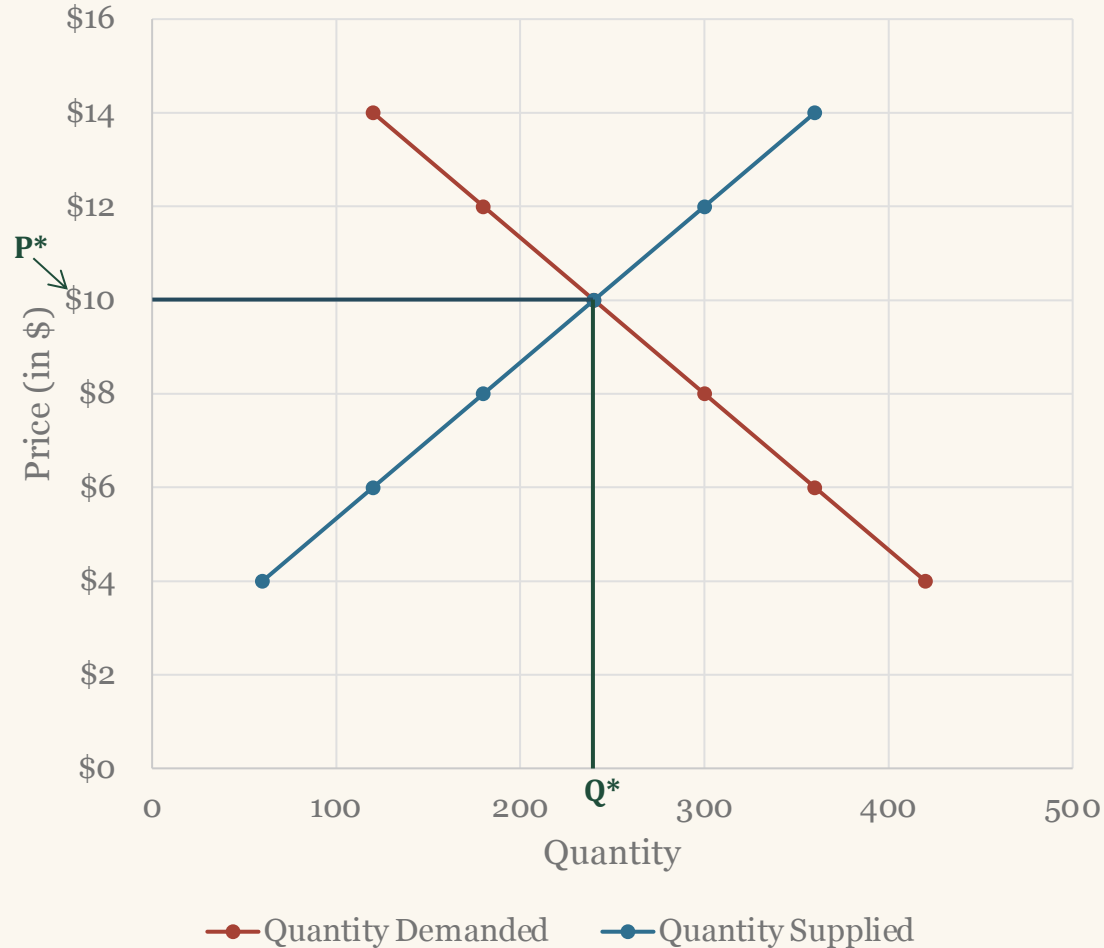
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Market Equilibrium



Market equilibrium occurs where:
Quantity Demanded = Quantity Supplied

At this price, buyers want to buy exactly
what sellers want to sell.

$$P^* = \$10$$
$$Q^* = 240 \text{ pastries}$$

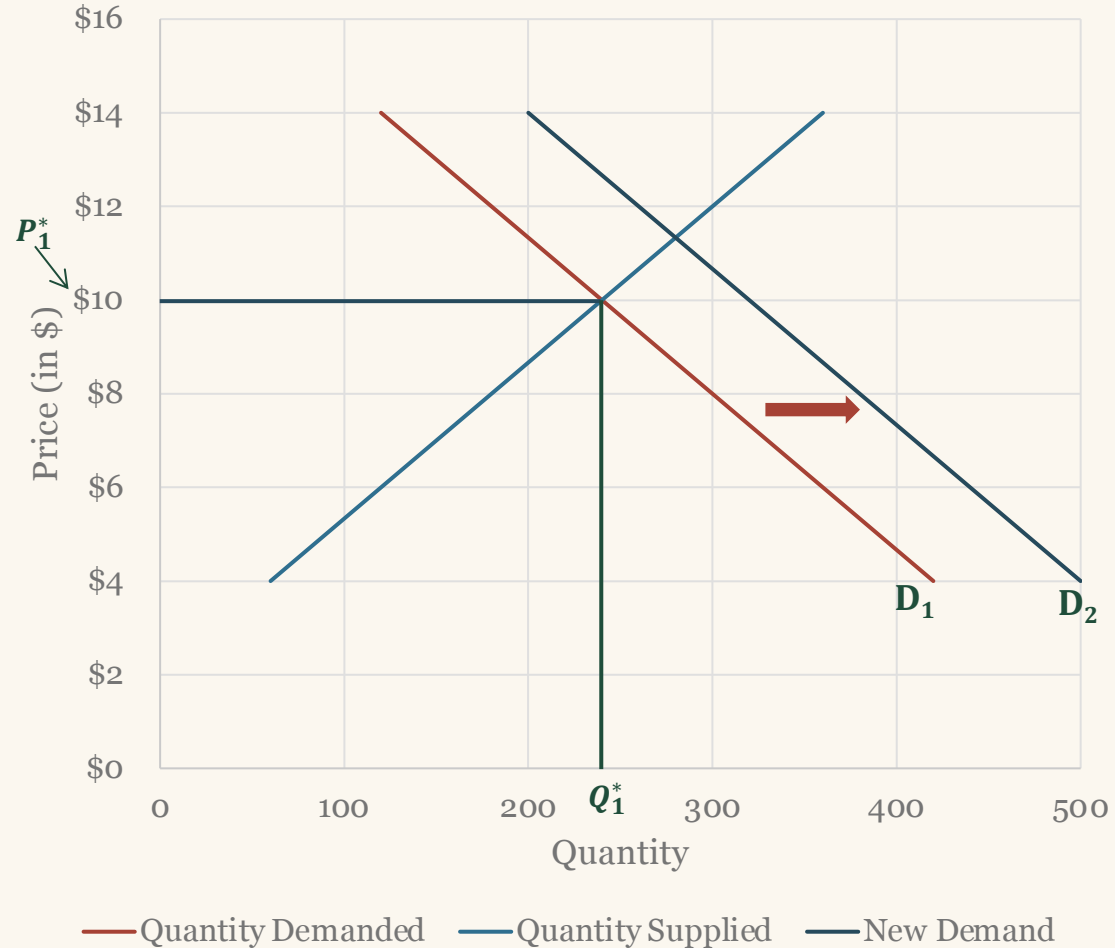
Festival Week Arrives

Founders' Night begins.
More visitors enter town.
More people want pastries.



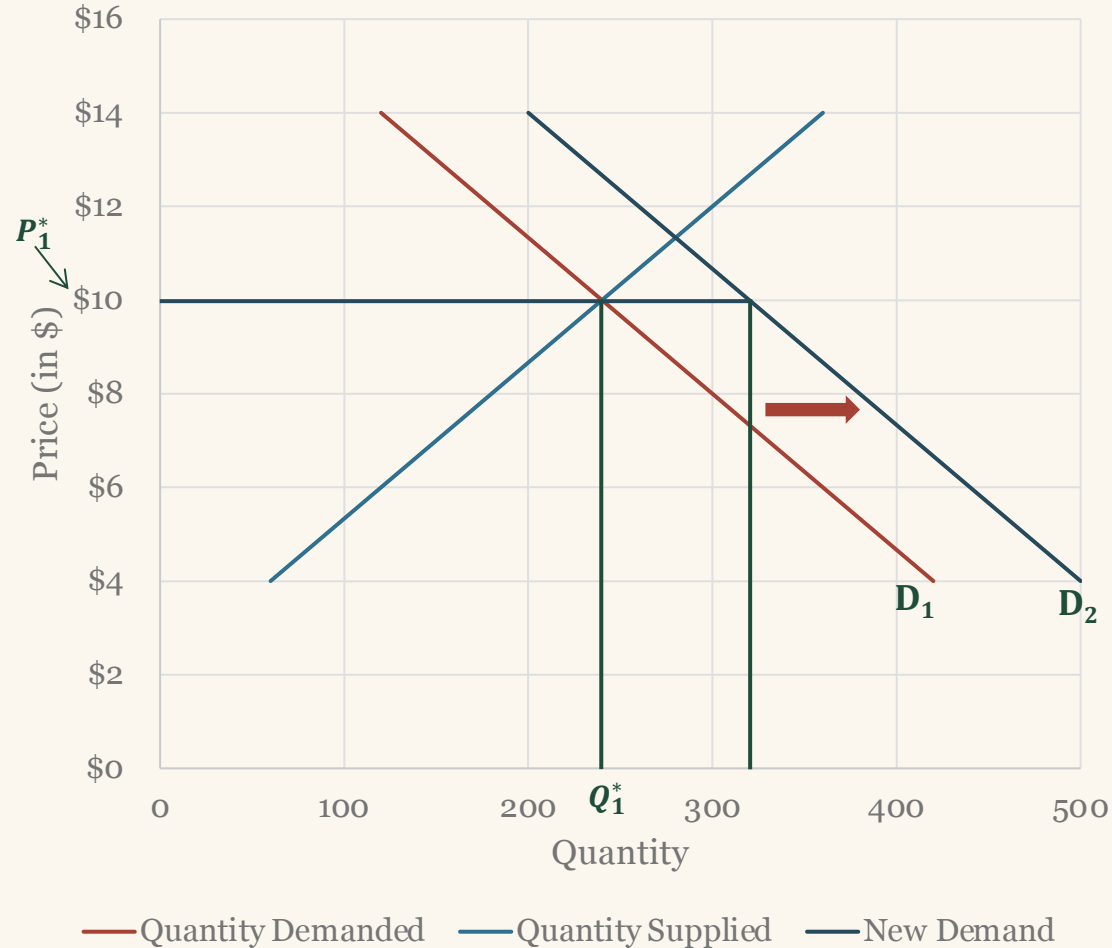
What changes?

Demand Increases



More Buyers → Demand shifts right

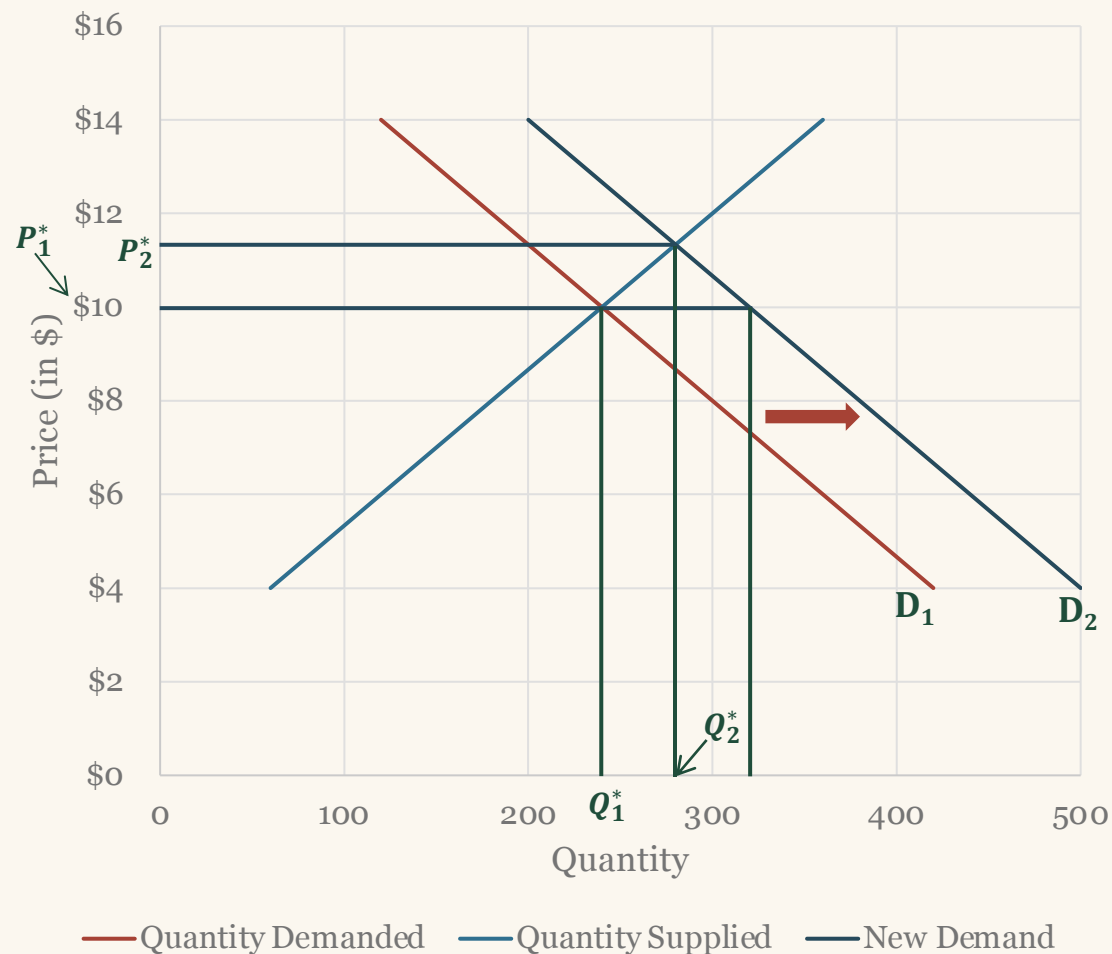
Demand Increases



Demand shifts right.

At the old price, buyers want more than sellers offer.

Demand Increases



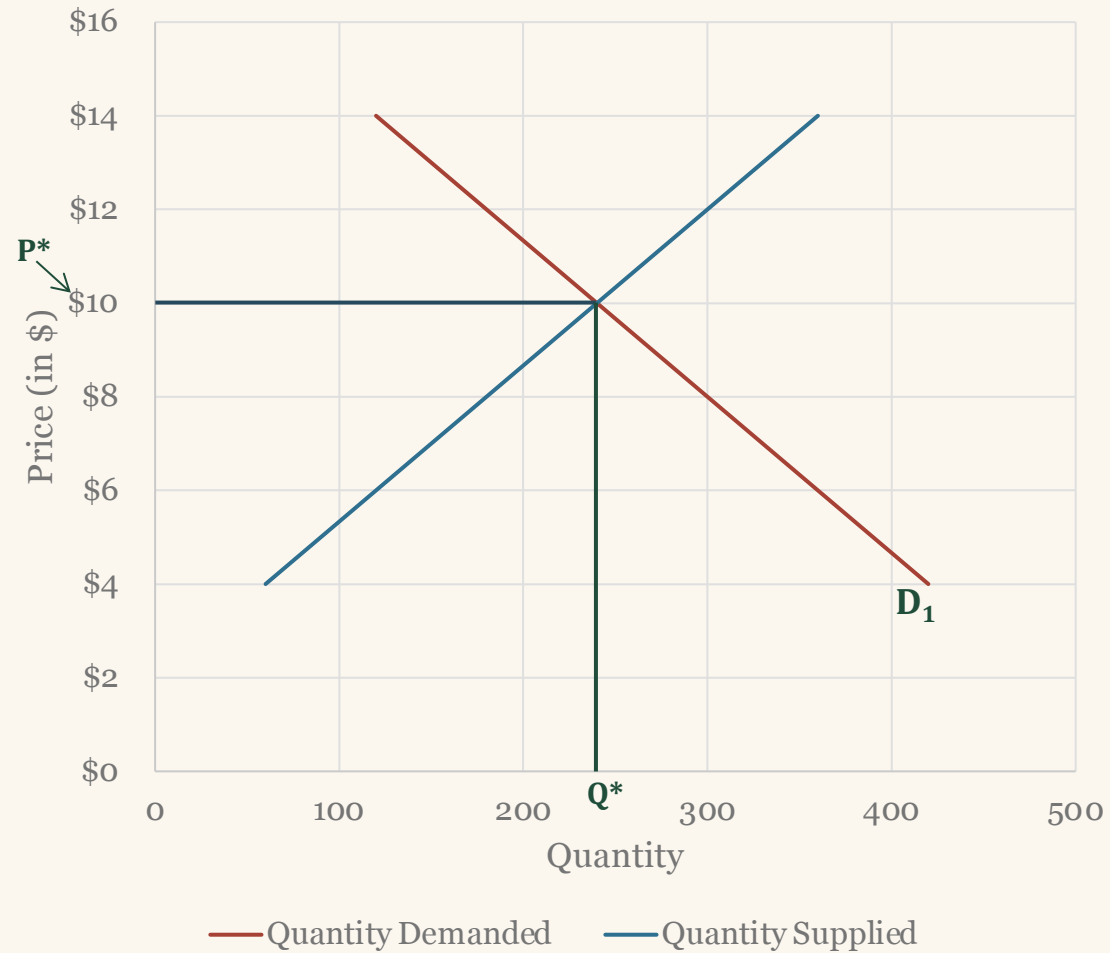
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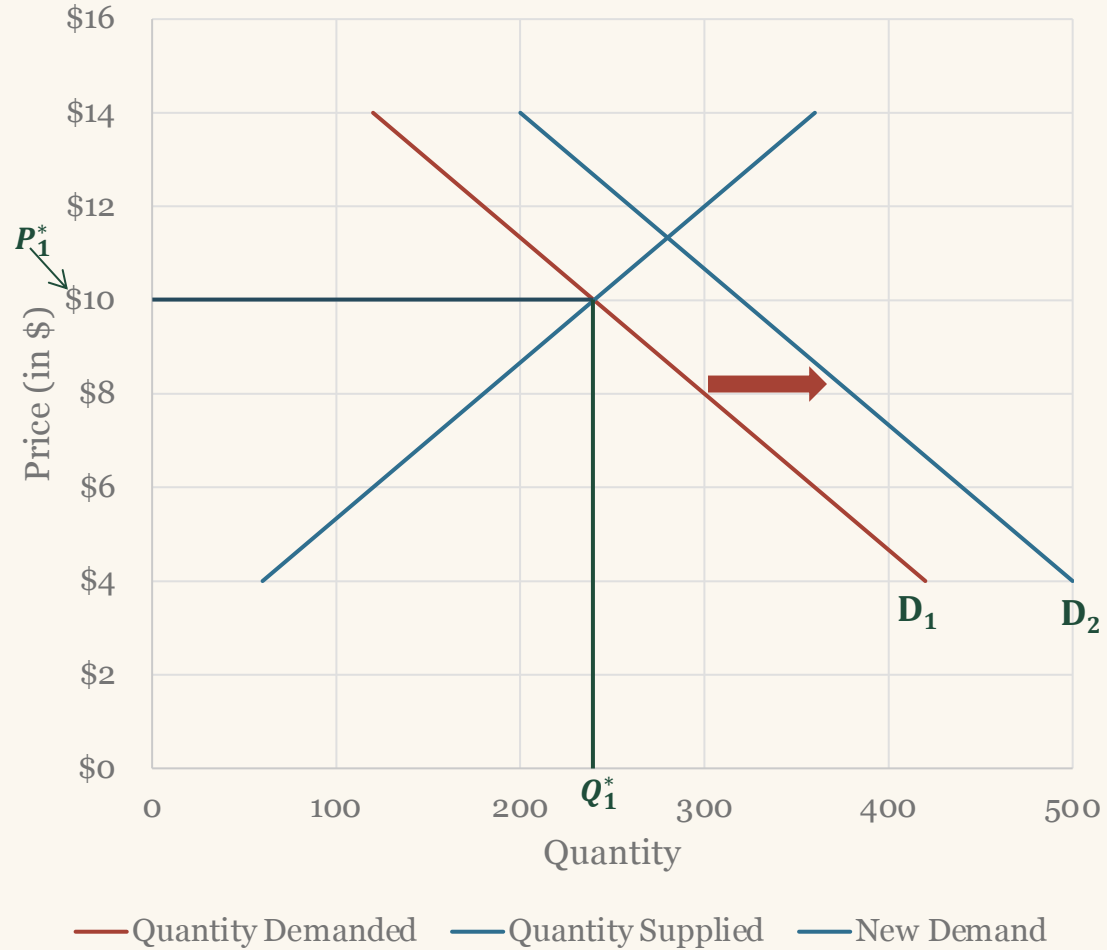
So the market has a shortage.

Price rises until plans match again.

Shift in Curves



Shift in Curves



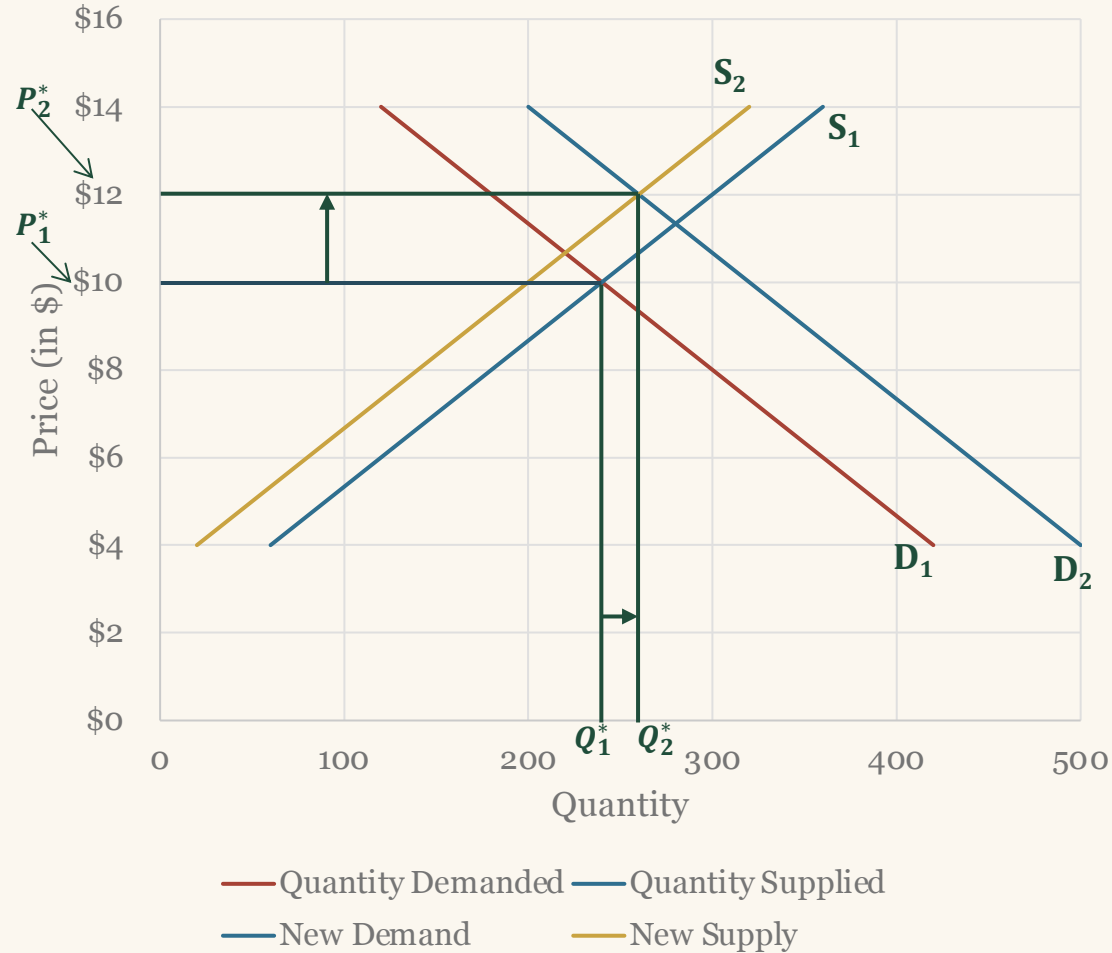
Festival Visitors arrive.

Shift in Curves



Festival Visitors arrive
Flour prices rises

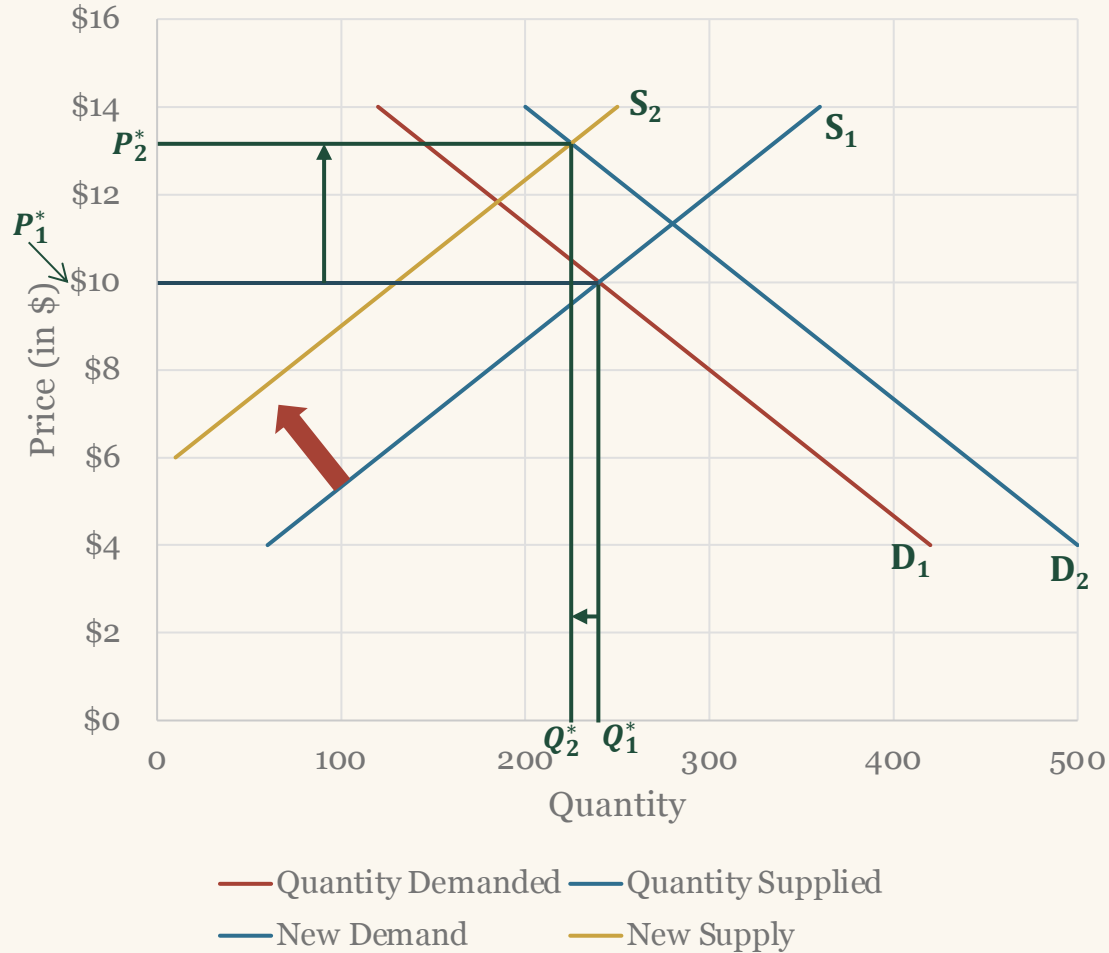
Shift in Curves



Festival Visitors arrive
Flour prices rises

Price rises for sure.
Quantity may **rise**, fall, or stay the same.

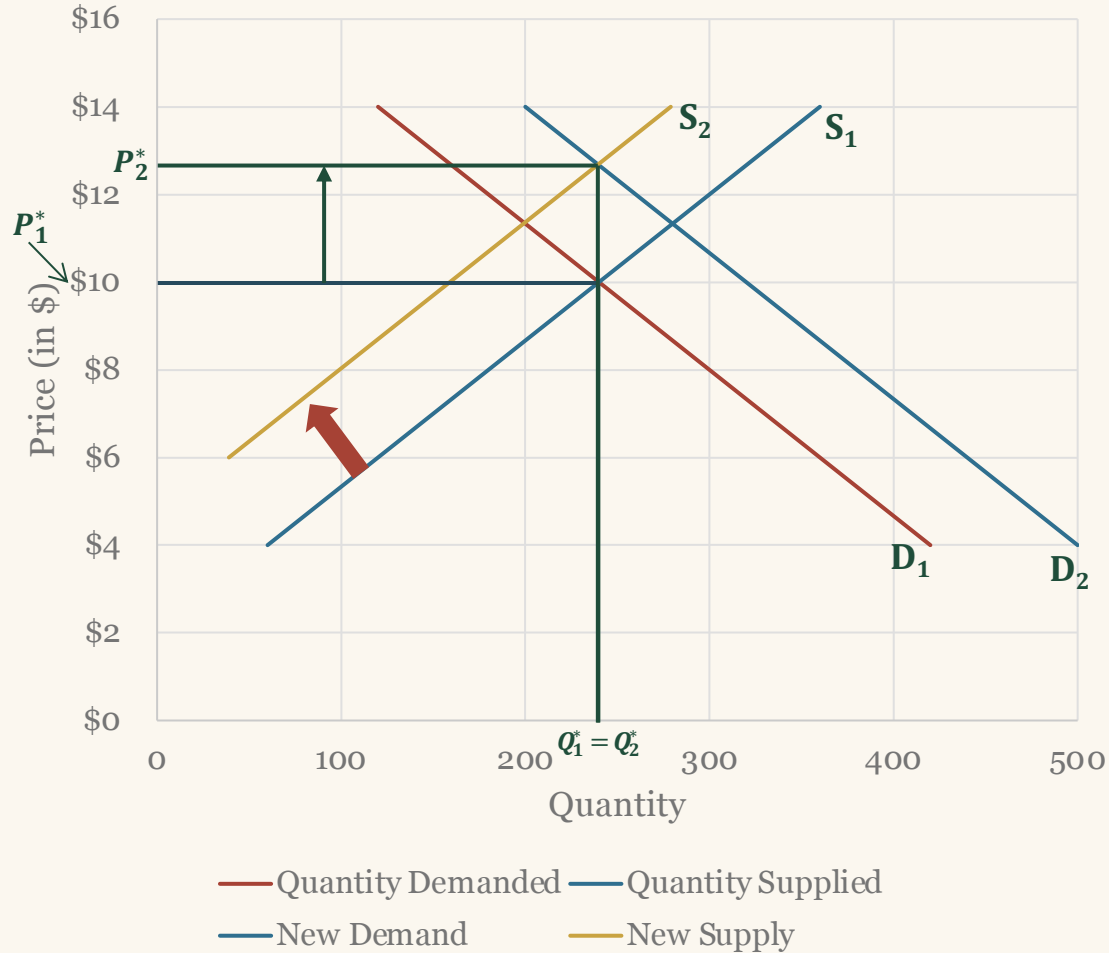
Shift in Curves



Festival Visitors arrive
Flour prices rises

Price rises for sure.
Quantity may rise, **fall**, or stay the same.

Shift in Curves



Festival Visitors arrive
Flour prices rises

Price rises for sure.
Quantity may rise, fall, or **stay the same**.